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Performance appraisal and the compensation of academic staff in the University of Tartu

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Abstract

Purpose – The present study aims to show the role of performance appraisal in the motivating and compensating of academic staff. The goal of the paper is achieved through comparing performance appraisal and compensation policies and systems in the University of Tartu. One of the aims is also to find out the level of satisfaction of the academic staff with the appraisal and compensation systems in two faculties of the University of Tartu.

Design/methodology/approach – Research was carried out on the academic staff at the faculty of Economics and Business Administration (hereafter FEBA) and the Faculty of Education (hereafter FE) at Tartu University. It is based on the analysis of quantitative and qualitative research methods. The author carried out document analysis and two original and anonymous questionnaires. In order to achieve this aim, 125 lecturers were questioned, from whom 52 percent returned their filled in questionnaires. In addition to that, qualitative data from five semi-structured interviews with senior management and lecturers, incorporating individual interviews were analyzed.

Findings – Firstly, results showed that the performance appraisal and compensation system (pay-for-performance system) has guaranteed a highly motivated core of staff. Secondly, teaching loads and research activities of the academic staff have increased over the years. Faculties need to establish performance appraisal and compensation systems in order to show clearly defined causality between compensation and performance of academic staff. A good and well functioning performance appraisal system would help the educators to make their mark in the organizational setting of their faculty.

Research limitations/implications – In addition to suggestions for improvement, limitations of the results will be addressed. The survey was carried out in two faculties at the University of Tartu. Unfortunately, the survey yielded only 65 usable responses, thus it could be claimed that the dataset is too small for making any conclusive generalizations. However, when taking into consideration that the survey was anonymous, the author believes that a 52 per cent response rate can be considered a very good result. Another limitation involves the dynamic nature of appraisal systems. Since, the appraisal procedures are still being developed, the systems described might now be out of date.

Originality/value – The present paper is valuable as it is the first one to examine the role of performance appraisal and compensation (pay-for-performance) systems in Estonian and Baltic Universities.

Keywords Human resource management, Performance appraisal, Compensation, Academic staff, Estonia

Paper type Research paper

Introduction

Performance appraisal is a process aimed at determining employee's work results. Rather than just concentrating on the performance results and compensation aspect, it also looks at how to create good work conditions, find competent management teams and develop staff successfully, all of which enables us to guarantee a high level of



motivation and work satisfaction amongst staff. Carraher *et al.* (2006) state that the most important factors of work and compensation satisfaction are job tenure, structure and administration of the compensation system. Whereas, pay itself is important, there are many other factors that in the long run overshadow the pay level and employees tend to consider other factors more when evaluating their work satisfaction.

One of the main responsibilities of management is to try and optimize the organizations compensation system. On the one hand, it is necessary to do everything possible in order to retain good employees, thus paying lots of attention to employee's motivation and satisfaction. On the other hand, however, it is important to make sure that employee's pay is in relation to his or her productivity. These aspects are also increasingly important in universities. At the same time, it is necessary to mention the unique peculiarities of higher education institutions, which makes direct application of business management principles and procedures complicated.

Institutions of higher education have been regarded as key institutions and have an important role to play in socio-economical change and development taking place in society. They have a crucial role in helping to build new institutions in a civil society, in encouraging and facilitating new cultural values and in training and socializing members of new social elites. The relationship between the change in society and the change in universities needs to be better understood in order to be more efficiently managed (Bjarnason and Brennan, 2003). However, in countries which have recently undergone radical changes, the role of higher education institutions has been different as compared to that in developed countries. The influence of these institutions might be both conservative and transformational to the changes taking place in society. Academic staff motivation has become a very important resource for achieving rapid changes in higher education in order to respond to a transformation in public demand.

As rapid changes increase the workload of academic staff drastically, it is important to implement specific motivation schemes and work out a united and fair performance appraisal and compensation system. Performance appraisal is one of the most valuable instruments in the manager's toolbox, as no other management process has as much influence over individuals' careers and work lives (Allen, 2003). Performance appraisal has a crucial role in reforming the educational system and increasing productivity of academic staff, as well as raising the overall quality of higher education.

Performance appraisal and compensation have been major subjects in public discussions on the future and quality of the Estonian education system. With the help of several information sources, the author aims to compare the different performance appraisal and compensation systems used in the University of Tartu.

Theoretical considerations of performance appraisal and compensation in higher education institutions

Performance appraisal is a management technique, which is used for making personnel decisions (promotion, transfer and pay), but also deals with issues like employee development (feedback and training). The appraisal activities are primarily based on the appraisal of employees' work results and activity (behaviour). The main aim of performance appraisal is to determine the work results of an employee in order to offer justified compensation. In addition to that, it is necessary to be able to grant procedural justice, accuracy and suitability of appraisal procedures and to continuously drive towards a result-driven climate through the shaping and changing of organizational

culture (Boyd and Ken, 2004; Grote, 2000; Weiss, 2001). One antecedent to distributive and procedural justice of performance, appraisal is social justice between groups and employees. When we do not compensate employees fairly, by basing their compensation on work results, then the employees waste their time rather on getting the desired levels of compensation and not on improving their work. Lawson (2000) believes that individual performance and pay have to be in accord as only then is it possible to motivate people enough for them to improve their performance and work quality. Pay-for-performance systems have enabled companies to leave aside fixed remuneration packages and concentrate on much more flexible systems that reward and appreciate individual efforts. Also, when working out a performance-appraisal system, it is important to take into consideration both organizational and personal goals.

Performance appraisal has recently attracted much attention in European universities and colleges. In public universities, the number of state-funded students has been decreasing rapidly, and the share of tuition fees has increased. At the same time, public universities have been exposed to market pressures that require organizational innovations similar to the changes implemented in private universities. For example, public universities in the UK introduced more formalized staff appraisal systems in the 1980s in order to meet the new requirements set by considerable changes in economic conditions. The change in the system was also necessary in order to improve the quality and effectiveness of staff performance. This change resulted in performance related pay in the UK university system as a whole, covering everyone from support staff to senior professors (Richbell and Wu, 2006).

Some researchers (Sinclair, 2003) claim that the issue of quality has become one of significant importance and will continue to be one of the predominant points of debate in higher education. In recent years, there has been rising interest in quality as perceived and determined by the consumer. It is important to determine the needs and quality demands of international and full-fee paying students, for they provide universities with money. Therefore, universities must establish procedures to monitor the competitiveness and success of graduates.

Performance-appraisal activities enable us to determine whether the employees' performance is in accordance with the established objectives. Three key functions of higher educational institutions are teaching, research and advising. The challenge to the universities is to produce employees who meet the requirements of employers. It is increasingly common for companies to search for individuals that have received training in a particular academic field. The quality of performance in teaching would include measures such as postgraduate students and alumni feedback (Mergen *et al.*, 2000). In order to improve the quality of graduates, it is first of all necessary to determine their future position in the labour market and find out the requirements of potential employers.

Some authors (Stilwell, 2003; Scott, 1999) question the suitability of commercial criteria and economic incentives in the higher education situation. They question whether the corporate managerial model is suitable in the context of higher education, as it pays too much attention to the economic rationale and sees competition and markets as the most appropriate means for achieving high quality of work. In addition to the above, the higher education sector is by its very nature and management style a conservative one. This is mainly caused by traditions and academic freedom, and that is why a payment-by-results system is still a relatively new approach.

However, state budget difficulties have determined the need for better management in the higher education sector, and the need to motivate academic staff more efficiently.

A performance appraisal and compensation system is mainly based on analyzing past data. However, it is important also to use future-oriented data and methods, such as TQM, capacity of knowledge re-use, etc. (Smith, 2005; Amidon, 2003). In general, we can distinguish between the two different options when motivating and compensating employees. We can do it either according to their input or their output (Figure 1). In case we decide to compensate an employee by basing compensation on individual input, we need to know employee's potential and ability. However, potential and ability alone are not necessarily enough for predicting employee's performance. In the author's opinion, compensation based on output is a better option, as it takes the final goal into greater consideration. The majority of the researchers support output-related compensation, however, several researchers have also drawn attention to the problems relating to measuring productivity, and also to lots of errors in a pay-by-results systems (Stashevsky and Weisberg, 2006; McClune, 2005; Holbeche, 2005).

As the work tasks have become more dynamic and universal, determining the work results has also become problematic, as it is not always possible to determine the individual work results and compare them. The emphasis on individual work results also reduces the sense of teamwork and undermines the interest of a group as a whole. Also, allocating individual work results may give rise to favouritism and petty jealousies and conflicts can arise between employees (Yager, 2000; Richbell and Wu, 2006). The highest point of self-motivation arises when there is a complementary conjunction of the individual's needs and the organization's requirements (Levinson, 2003). Thus, both individual needs and organisational goals are equally important and should be treated as such at all times.

Methodology

The paper applies data triangulation by using various sources of secondary data (past appraisal system research) and primary data (ongoing appraisal system research). However, as the number of survey response observations is somewhat limited, the empirical analysis uses both qualitative and quantitative methods. In order to analyse the performance appraisal system, the author first of all carried out document analysis, then questionnaires and after that the interviews. The document analysis examined job descriptions and specifications, methodical materials of the pay-for-performance

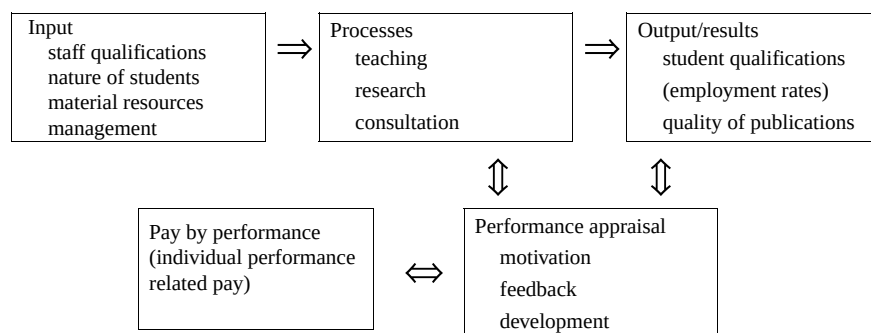


Figure 1.
Dependency between
performance appraisal and
compensation according to
personnel input or output

system and annual reports of the University of Tartu on its teaching loads, research workloads and average salaries.

The questionnaires used were original and worked out by the author. The questionnaires helped to establish the specifics and the problems of the performance appraisal and pay-for-performance system. In order to study the level of contentment of the academic staff with the appraisal system, the author carried out questionnaires in the FEBA and the FE of the University of Tartu. When choosing which faculties to include in the study, it was important to make sure that the chosen faculties were comparable in their specific work, and at the same time that the chosen faculties applied different appraisal and compensation systems. The FEBA has used a payment-by-performance system for over ten years. The FE on the other hand has been using a pay system based on the employee's academic post in the faculty and does not pay too much attention to the actual work results when determining the pay packages.

In order to study the level of contentment of lecturers and researches with their appraisal system in the FEBA, a separate survey was carried out in March 2004. A total of 50 questionnaires were distributed, 25 of which were returned, thus the completion percentage was 50 per cent. Six of the respondents were professors, nine associate professors, two were lecturers, four were assistants, three were researchers and one of the respondents did not classify their position. In the FE, a separate survey was carried out in November 2004. About 75 questionnaires were distributed, 40 of which were returned, and thus completion percentage was 53 per cent. Four of the respondents were professors or associate professors, 26 were lecturers, one was a researcher and nine of the respondents did not classify their position. In total, 65 questionnaires out of the 125 were returned (thus, the completion percentage was 52 per cent).

Both questionnaires had 60 questions and rated seven aspects of the lecturer appraisal system. These seven aspects can be found below, however, the present paper has a closer look at only three of them – points number one, four and seven:

- (1) Give us your opinion about the performance appraisal and compensation system in the faculty.
- (2) What do you think about the rating methodology of publications?
- (3) In your opinion, how justified are the evaluation criteria used in student questionnaires?
- (4) Do you find the coefficients used for calculating teaching workloads appropriate?
- (5) How should the sum of points be calculated which is used for determining work contribution and pay?
- (6) In your opinion, are the points given for administrative workload just and fair?
- (7) Would you please highlight the pluses and minuses of the present appraisal system in the faculty and evaluate your overall satisfaction with the system as a whole.

In order to understand the essence of the system and devise possible solutions, the author carried out five semi-structured interviews during April and May 2005, including individual interviews and group interviews (focus interviews). Groups consisted of five lecturers from different qualification backgrounds. The purpose of the group interviews was twofold:

-
- (1) Would it be practical to simplify the present appraisal and compensation system?
 - (2) What kind of changes should be carried out in the present pay-for-performance system and which new elements could be used?

This approach enabled us to examine the problems from different standpoints and granted better mutual understanding as it took into consideration everyone's interests.

Performance appraisal and compensation in the University of Tartu

Compensation of the academic staff at the University of Tartu is carried out according to the remuneration directives in which the regulations for paying bonuses are also stated. When evaluating job efficiency, the following is taken into consideration: quality and quantity (efficiency) of teaching; quality of scientific research; results of innovation; efficiency of management activities; implementation of refresher courses; application of research and development contracts with university partners. Relatively less value is attributed to administrative workloads and negotiated or fulfilled contracts. According to the above-mentioned regulations and the wage budget fund the faculties shape their policy of job compensation.

The comparison of the average salaries of the academic staff shows almost twofold differences in wage levels between faculties. This is caused by different qualifications of the academic staff, different capacity levels of privately paid teaching, the number of students and the amount of credit points per lecturer. Table I shows that the number of students per lecturer and the teaching loads in the FEBA are more than twofold higher than in other faculties. Workload per lecturer has increased rapidly in the FEBA during the past ten years, which is directly influenced by the usage of the pay-for-performance system. Also, when comparing the FEBA and the FE it is clear that credit points per lecturer, which directly indicate the workload, are more than double in the FEBA. Teaching loads are taken into consideration when allocating pay, however, the author believes that more needs to be done and workloads should be paid even more attention to when determining the pay.

The election process on vacancies, well documented procedures and lecturers' annual reports control performance quality in the University of Tartu. There are unified requirements for how to compile the yearly reports of lecturers and researchers, which are the basis for their job appraisal. Also, performance appraisal of the academic staff (lecturers and researchers) has become increasingly topical in the university over the recent years. It is advisable to link the performance appraisal with the pay-for-performance system, as the latter is the basis for the calculation of an employee's final salary. Appraisals are carried out on various structural levels, the appraisal methods and forms depend on the structural levels involved and vary considerably from faculty to faculty. Many faculties evaluate their lecturers regularly – 90 per cent of the respondents claim that lecturers and researchers are evaluated during the period between the elections. According to the university compensation scheme, the academic staff will be paid bonuses for very good results during the period evaluated. However, this is still done without sufficient regulation. During the recent years, university management and the HRM department have emphasized the need to pay more attention to the findings gathered from student questionnaires and apply development interviews with the academic staff.

Table I.
Efficiency indicators and
average salaries by
faculties at the University
of Tartu

Faculty	Number of lecturers (2005)	Number of students per lecturer	Credit points per academic staff member for full-time study (2004/2005)	Credit points per academic staff member in open university (2004/2005)	Credit points per academic staff member (2004/2005)	Average monthly salary (2005, EUR)
Theology	13	19.8	525	101	626	851
Law	32	32.2	602	316	918	1,141
Medicine	152	10.0	371	11	382	953
Philosophy	157	18.9	593	67	660	739
Biology and Geography	54	25.1	865	38	903	1,018
Physics and Chemistry	45	22.1	784	35	819	845
<i>Education</i>	<i>51</i>	<i>30.7</i>	<i>355</i>	<i>327</i>	<i>682</i>	<i>677</i>
Exercise and Sport						
Sciences	33	19.1	419	120	539	742
<i>FEBA</i>	<i>33</i>	<i>44.2</i>	<i>815</i>	<i>652</i>	<i>1,467</i>	<i>1,193</i>
Mathematics	55	14.2	678	24	702	880
Social Sciences	60	31.5	825	207	1,032	895

Source: Annual Report of The University of Tartu 2002 (2006); other official documents of the University of Tartu; according to author's calculations

Motivating remuneration schemes and regular anonymous student questionnaires, which are carried out for that very purpose every semester and for all courses, help to maintain and refine the quality of staff performance. The most important aspect of the questionnaires is still the feedback to the lecturer about their own work. The results of the feedback will be disclosed to the employee as well as to their work organizers. As of 2004, recommendations have been made to use development interviews.

At present, there is no unified and compulsory appraisal system in the university and the appraisal of the academic staff is carried out differently in separate faculties. In the author's opinion, this kind of approach makes perfect sense, as faculties differ considerably and their aims are different. The FEBA, for example, uses a rather detailed appraisal system and takes into account a varied mix of work components. Also, the FEBA has linked their appraisal system directly to their pay-for-performance system. In many other faculties, on the other hand, this is not the case and the results are taken into consideration mainly when calculating the overall basic salaries and bonuses.

Comparison of the performance appraisal and compensation systems at the FEBA and the FE

The annual self-appraisal of the FEBA is related to the preparation of annual reports and the drawing up of next year's budget. The performance appraisal system of the FEBA is the basis for the budgets of the institutes and subdivisions as well as for the pay-for-performance system for lecturers and researchers. In order to stimulate the staff members by competitive comparison, the formalised performance results are disclosed annually in a particular report. This tuition and publications report is used for allocating funds amongst the institutes and its subdivisions, and for differentiating between staff salary rates.

The FEBA has established comprehensive procedures for keeping record of the staff members' tuition loads, publications and managerial tasks. Different appraisal criteria of the academic staff and determined proportions of teaching and research in subunits and among lecturers should be followed. The foremost truthful indicators of the quality of teaching are the results of the Open-University student questionnaires. These evaluations have an important role in determining an employee's salary.

The monetary stimulation is based on pay-for-performance, and on the employee's actual work contribution (performance). Wages and bonuses are appointed once a year on the basis of the performance of the previous period and within the boundaries of the institutes' budget fund. At the same time, the appointed wages and bonuses have to be also in accordance with the remuneration regulations. Head of the institute may correct the performance appraisal on the basis of the development interview, and carry out qualitative appraisal of the aspects of performance that were previously not taken into consideration.

As quick changes increase the workload drastically, it is important to implement specific motivational schemes and a pay-by-performance system. The FEBA's remuneration system is based on the implementation of objectives established by institutes and its subdivisions. The staff motivation system is aimed at improving the overall quality of tuition and the research processes. The FEBA has established a comprehensive system for recording the teaching loads and publications of all their academic staff. The payroll fund is divided between the institutes according to the

work results of their employees. The following scheme is used: 60 per cent of the payroll fund is allocated according to the teaching activities, 30 per cent according to the publications and 10 per cent according to the managerial tasks[1].

For example, teaching workload consists of lecturing, tutoring and thesis defence workloads. In order to find out the lecturer's work-load in hours, the sum of course, credits assigned to students during each course will be used. Tutoring workloads will be determined according to the standard hours assigned to different tutoring jobs. When determining the hourly rate for teaching, the specific post held by the lecturer is taken into consideration. In order to calculate qualification bonuses, the normal teaching workload will be multiplied by the following coefficients: professor – 1.7; associate professor or senior researcher – 1.4; lecturer or researcher 1.15. The lecture hours achieved through the above calculations are afterwards modified again, this time taking into consideration the study level (e.g. Bachelor, Master's, Doctorate) and also the teaching quality coefficients (appraisals by fee-paying students who study in the Open-University framework).

The above-mentioned system enables the yearly basic salary and bonuses for each employee to be determined, taking into consideration their performance. The differentiation of salaries amongst the academic staff in the FEBA is significant. This is caused by big differences in work contribution and marked point discrepancies in research and teaching. The differences in compensation are objectively justified and thus should be maintained.

For example, the salary of an associate professor at the FEBA may be higher than that of a professor, as it is depending on the workload and productivity. The highly motivated core of the staff who are dedicated to academic work is maintained, and the publishing and research activities of the teaching staff have increased at the FEBA several times. Also, this approach has enabled the encouragement of young lecturers to stay with the faculty and discouraged them from seeking better remunerated jobs in the private sector.

The author carried out a questionnaire in the FEBA and in the FE in order to study the level of contentment of lecturers and researches with the appraisal system (Table II). The questionnaire rated seven aspects of the lecturer appraisal system through 60 sub-questions. The present paper discusses only the essence, the structure and the academic staff opinions about the pay-for-performance system. Regarding the question whether it is necessary to appraise the lecturers at all, 72 per cent of the

Table II.
The importance of appraisal and its characteristics in the FEBA and in the FE in the University of Tartu (percentages of positive responses)

Propositions	FEBA	FE
Appraisal of lecturers and researchers is necessary	72	83
You are well informed about the appraisal system	72	33
Appraisal system is comprehensive and to the purpose	46	45
Appraisal process must end with an appraisal/development interview	64	73
Appraisal/development interview should be official and recorded	40	35
Direct supervisor should be in charge of showing and discussing the appraisal results with an employee	80	88
Performance appraisal should be directly linked to remuneration	68	90
It is necessary to develop and refine the existing appraisal system	84	93
Evaluation point scores: 1 – no; 2 – slightly negative; 3 – slightly positive; 4 – yes		

respondents of the FEBA and 83 per cent of the respondents of the FE answered positively. Thus, we can conclude that the academic staff in the FE considers evaluation somewhat more important than the staff in the FEBA. The author believes it to be caused by unavoidable problems relating to the pay-for-performance appraisal systems, their implementation difficulties and conflict of interests, which may cause overall negative feelings towards them.

A total of 28 per cent of the lecturers at the FEBA feel that they are not sufficiently informed about the appraisal system, which can explain why some of the lecturers have negative feelings towards the pay-for-performance system. Regardless that the majority of the lectures of the FEBA consider themselves to be either well informed (or informed) about the appraisal system, it is still quite worrying that as much as one forth of the respondents consider themselves to be insufficiently informed about the appraisal system. However, the academic staff in the FE is much less satisfied with their classical staff appraisal and compensation system. Only one-third of the academic staff considers themselves well informed about the appraisal system. About 90 per cent of the academic staff at the FE would prefer if the appraisal results were taken into consideration when determining the final pay packages. They feel that performance appraisal should be directly linked to remuneration. This percentage figure is considerably higher than the same indicator in the FEBA. In author's opinion, the faculties should start paying much more attention to informing staff and trying to balance different interests. This aim could be achieved through engaging the core staff when working out the pay-by-performance system.

A total of 46 per cent of the respondents were rather critical (answering "slightly negative") when asked whether they thought the appraisal system was comprehensive and practical. Even long-term practical knowledge does not guarantee that the coined pay-for-performance system is going to be efficient and accepted amongst employees. In order to decrease the level of dissatisfaction amongst employees, it is necessary to find a better balance between various aims and interests. However, regardless of the problems, it is still clear that the system is necessary, as it has brought along considerable growth in work efficiency and work quality in the FEBA.

Majority of the respondents from FEBA consider the points system for publications too complicated. At the moment, the system is based on the number of characters in the article and should be simplified. The present motivation scheme has brought about a steep rise in the number of published research publications. During the past ten years, the number of publications per lecturer/researcher has increased four times, it was 9.2 research publications per employee in 2005. This is more than four times the university average; in the majority of the faculties the figure is approximately two publications per year per lecturer/researcher. Starting from next year, the FEBA plans to pay lecturers only for articles that are either published in internationally renowned magazines, or for monographs that have been published by internationally acknowledged publishers.

As to the question whether the results of student questionnaires should be taken into account when calculating the pay for lecturers, 50 per cent of the respondents answered "no" or "slightly negative". However, the lecturers pointed out that the appraisal criteria in the student questionnaires was relevant and believed that the questionnaires provided an objective and comparable evaluation of the work done by lecturers. The majority of the lecturers consider the questions posed to students in

the evaluation questionnaires relevant. Only the question about the level of difficulty of a particular subject was considered unsuitable. It became clear during the interviews that many lecturers consider the link between student evaluations and pay unsuitable due to their own low scores.

Over half of the respondents would like the weighted average of the detailed evaluation results to be the basis for calculating the sum of points that is used for determining an employee's contribution and pay. Another question asked was whether the appraisal process should conclude with a development interview. Two-thirds of the respondents answered yes or slightly positively to that question. The question about the form of the development interview received very different answers. Almost two-thirds of the respondents preferred a non-official interview where the results are not recorded.

The last section of the questionnaire contained open-ended questions, which explored respondents' opinions about the overall satisfaction with the appraisal systems. The main pluses and minuses of the appraisal system indicated by the respondents in the FEBA are shown in Table III.

Group interviews brought out very different and conflicting standpoints. However, introduction of less-complicated systems in the FEBA would be a step backwards as it would equalize all employees and the work efficiency would fall. This in turn would decrease staff motivation, work efficiency and have a negative impact on fulfilling the goals of the faculty. Also, simplification of the appraisal system and graded salaries would result in more centralised management and might cause management errors.

A simplified pay-for-performance system might on the one hand help to minimise conflicts resulting from appraisal nuances, but on the other hand however it could cause the decisions to become more subjective. In addition to that, significant

Pluses	Minuses
The pay-for-performance system motivates the staff member to move on; the more you do the more you get	The pay-for-performance system has brought excessive competition and conflicts; it has impaired the work climate and diminished cooperation between colleagues
The employee can compare themselves to other staff members; overview of the amount of work done during the year	It functioned well as long as there was enough money for salaries and the salaries increased yearly; however, in the current difficult market situation, the negative aspects prevail
The appraisal criteria in the student questionnaires is relevant and enables an objective and comparable evaluation of the work done by lecturers	Overly customer-focused; too much attention is paid to quantitative measurements; not enough attention is paid to personal reasons
It has considerably increased the number of publications	Social Darwinism (only the strongest will survive); the need to prove oneself all the time can cause exhaustion
It is reasonably open and improves the fairness of remuneration	The criteria used to measure efficiency are limited and fail to consider the staff's contribution to the development of the University as a whole and Estonia
Guarantees development of the faculty and is a role model to other faculties	
Less time is spent on administration and control	

Table III.
Pluses and minuses of the academic staff appraisal system used in the FEBA

simplification of the performance appraisal system might also give way to situations where some duties are avoided. The graded salary system will blur the appraisal criteria and the usage of informal indicators will be favored. Also, the usage of financial resources will become more inefficient in an already tense budgetary situation.

Although the implemented measures have resulted in positive changes in the FEBA, there have been some negative aspects as well. Owing to the increase in the number of different study programs and the number of students, the staff is working under greater strain. This is also indicated by the above-mentioned figures about student-lecturer ratios and the number of credit points given by one lecturer. However, it must be added that the amount of research and published articles in the high-level peer-reviewed journals is still rather low.

During the years, the academic staff has had time to learn how to magnify their indicators and has established which activities are more beneficial for them. Therefore, it would be important to remember to keep in mind procedural, distributive and social justice when reviewing the compensation system at FEBA. Also, the system should try to encourage not only individual efforts, but also cooperation and teamwork between employees.

The most important difference between the academic staff in the FEBA and the staff in the FE was that the latter emphasized the need to work out systematic appraisal methodology, including appraisal and compensation rules for both teaching and research (publications). The academic staff of the FE also expressed their dissatisfaction with the practice in the framework of which their salaries are derived from the minimum salaries (depending on the held post) established by the university. The staff complained that this approach does not motivate them to improve their work. When determining the final pay, other duties besides teaching and research should be considered, for example tutoring and administrative work. More than half of the lecturers said that they would like the appraisal to finish with a development interview. In conclusion, it can be said that the appraisal system in the FE should be improved considerably and linked with the pay-by-performance system.

Conclusions and recommendations

The performance appraisal and compensation system can be successfully used for directing and motivating academic staff in their activities and seeing that their activities are in accordance with the aims and facilities of subdivisions. This study focused on the performance appraisal and compensation system in the FEBA and compared it to the system used in FE.

The results and conclusions of the present research paper should be viewed with caution as the present study has several limitations. Unfortunately, the survey yielded only two faculties where different types of appraisal and compensation systems were used. One other possible limitation is that appraisal systems are rather dynamic in their nature. The present appraisal systems as well as the compensation systems are being refined and developed and thus might no longer represent the status quo of all the aspects of appraisal.

In order to make broader generalizations, more research work would need to be carried out in Estonian and Baltic universities. Up to now, the following internationally renowned magazines have published the author's articles on the subject of appraisal and

remuneration systems of the academic staff in Estonian universities (Türk and Roolah, 2007, 2005). The results of the present paper are based on Estonia. At the same time, we can make some generalizations and say that the results are characteristic to fast developing recently joined European Union countries that have individualistic culture.

The implications of this research relates to the difficulties in adopting organization-wide appraisal systems. Different faculties may indeed have various requirements that must be accounted for during performance appraisal. However, the author considers it still necessary to push for organization-wide coordination, which would help to establish organization-wide procedures. The managerial implications suggest closer cooperation between faculties and the human resource department in order to establish more unified appraisal procedures.

Job performance is a crucial criterion for compensation and grants work efficiency of the academic staff. In the exploitation of the performance appraisal system, the following aspects should be considered:

- The appraisal system at the FEBA was introduced 11 years ago and during this time several changes in the weight of the indicators have taken place. This complicates the comparison of the yearly results and a deeper analysis of the effectiveness of different changes is problematic. Also, the academic staff has learnt to magnify the indicators in their favour and has a clear understanding which activities are more beneficial for them.
- This is done in order to increase the willingness of the academic staff to react to changes in the market of higher education and to increase quality of teaching and research activities. This has enabled the FEBA to adapt to the needs of the market of higher education and to introduce and continuously develop five different Masters programs that are in accordance with the needs of the society.
- The quantity and quality of work has to be appraised mainly in three fields: teaching, research/publishing activities, and management tasks. Different compensation criteria of the academic staff and determined proportions of teaching and research in subunits and among lecturers should be followed. The foremost truthful indicators of the quality of teaching are the results of the Open University student questionnaires. These evaluations have an important role in determining an employee's salary.
- The differentiation of salaries amongst the academic staff in the FEBA is significant. This is caused by big differences in work contribution and marked point discrepancies in research and teaching. The differences in compensation are objectively justified and thus should be maintained.
- The performance appraisal and compensation system at the FEBA has considerably increased the work efficiency of the academic staff. For example, the publishing activity of the academic staff has increased four times during the past eight years. The pay-for-performance system has also increased the quality of teaching and research at the FEBA.
- Although the implemented measures have resulted in positive changes in the FEBA, there have been some negative aspects as well. The major problem that the FEBA faces at present is that its main lecturers are working under greater strain. This is also indicated by student-lecturer ratios and the number of credit points given by one lecturer.

- The amount of research and published articles is considerably higher in the FEBA than in the University of Tartu as a whole, but the percentage of articles published in the high-level peer-reviewed journals is still rather low. Also, the impact of lecturers and research work on the society as a whole is not considered enough. The current situation cannot be maintained and justified, it is quite clear that the system needs to be improved in order to reduce the workload of the academic staff.
- It is important to avoid the excessive use of the quantitative work results indicators, as this has brought about the disproportionate growth of the workload. This extensive progress has negative sides as the exhaustion and rivalry between employees can cause unsatisfactory interpersonal relationships and even generate more HRM problems. However, on the plus side, the payment-by-performance system is going to benefit in the near future from the new objectives and goals that have been set for further improvement.
- The FEBA received the highest evaluation results in comparison to other Estonian higher education institutions in the field of economics and business administration. This shows clearly the importance and necessity of the performance appraisal and the pay-for-performance system in the FEBA. Therefore, in conclusion it can be said that it would be useful to implement such kind of performance appraisal systems in others faculties of the university as well.

Note

1. More detailed description of the payment system can be found from the homepage of the FEBA – web site: www.mtk.ut.ee/teaduskonnast/dokumendid

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